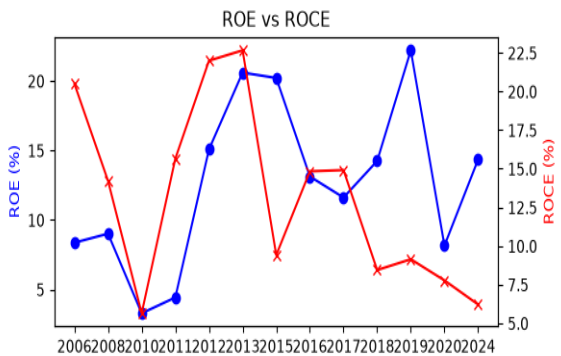
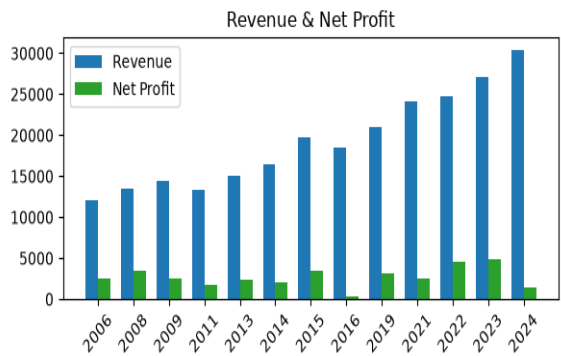
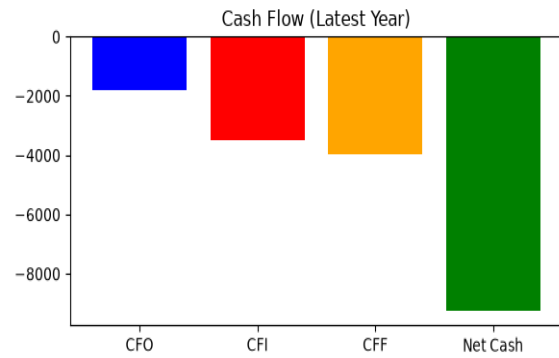
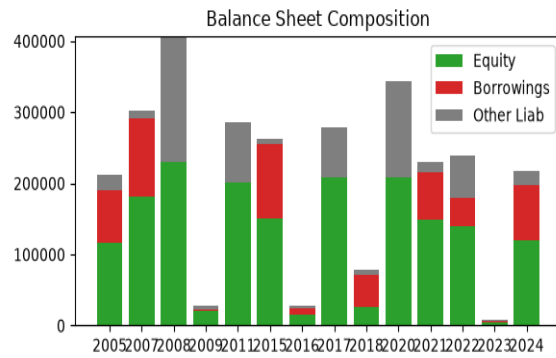


IDFC First Bank Ltd (IDFCFIBSTR)

|         |                |            |               |     |       |
|---------|----------------|------------|---------------|-----|-------|
| Revenue | Rs. 30376.1 Cr | Net Profit | Rs. 1358.2 Cr | OPM | 14.7% |
| ROE     | 14.3%          | ROCE       | 6.2%          | D/E | 0.95  |





## Capital Allocation Pattern: Value

### Pros:

- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Revenue growing slower than profits shows improving operating leverage and scale benefits

### Cons:

- Operating margins declining for 3 consecutive years suggest pricing or cost pressure
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility